

GCE AS MARKING SCHEME

PRACTICE PAPER 1 (MODERATE)

AS ECONOMICS - COMPONENT 2

B520U20-1

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggest the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level.

EDUQAS GCE AS ECONOMICS - COMPONENT 2

PRACTICE PAPER 1 (MODERATE) MARK SCHEME

Q.1 (a) Using a diagram, outline the likely impact of increased migration on the UK housing market.

[4]

Band	AO1 (2 marks) Is the diagram accurate and used?	AO1 (2 marks) Is understanding of the reason clear?
2	2 marks — Good understanding Strong use of demand and supply diagram showing rightward shift in demand for housing. There are no meaningful errors.	2 marks — Good understanding Clear and detailed understanding of why demand for housing increases and how this affects house prices.
1	1 mark — Limited understanding Weaker use of diagram to illustrate change in price. The diagram is limited in scope or contains significant labelling errors.	1 mark — Limited understanding Of why demand for housing changes.
0	0 marks Diagram is not valid.	0 marks No valid understanding.

Indicative content:

AO1

Increased migration to the UK leads to a rise in the population needing housing. The demand for housing shifts rightward from D1 to D2. With supply of housing being relatively inelastic in the short run due to time required to build new homes, this leads to a significant increase in house prices from P1 to P2, and a small increase in quantity from Q1 to Q2.

Acceptable alternative: increased demand for rental properties leading to higher rents. Diagram showing rightward shift in supply (from new housebuilding) leading to lower prices is also creditable as an alternative interpretation.

Q.1 (b) Discuss the likely price elasticity of demand for new-build homes in the UK. [6]

Band	AO1 (2 marks) Is PED understood?	AO3 (2 marks) Is the reasoning for PED explained?	AO4 (2 marks) Is the answer debated and judged?
2	2 marks — Good Understanding Of PED in terms of elastic or inelastic with reference to substitutes, necessity, or proportion of income.	2 marks — Good Analysis Developed lines of analysis explaining why PED for new-build homes could be inelastic (or elastic).	2 marks — Good evaluation Comes to a reasoned judgement as to the likely PED and strength. Counter argument present and developed.
1	1 mark — Limited Understanding Partial understanding of PED in terms of the formula or basic definition only.	1 mark — Limited Analysis There is a chain of reasoning, but its use of economic theory is underdeveloped; explanations are superficial.	1 mark — Limited evaluation Counterargument is present but lacks an overall judgement, or one-sided answers with a judgement on strength without qualification.
0	0 marks No valid understanding.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content:

AO1: Price elasticity of demand (PED) measures the percentage change in quantity demanded for a good after a change in its price. Inelastic demand means quantity demanded is unresponsive to price changes (PED between 0 and -1). Elastic demand means quantity demanded is responsive (PED < -1).

AO3: Demand for new-build homes is likely to be relatively price inelastic in the short run as housing is a necessity and there are few close substitutes in the immediate term — buyers cannot easily delay purchase if they need a home for work or family reasons. Also, a significant proportion of the purchase is financed by mortgage, so changes in price translate into smaller proportional changes in monthly repayments. Hence even a relatively large rise in prices may lead to only a modest fall in quantity demanded.

AO4: However, the strength of PED depends on the time period — in the long run, buyers may rent instead, move to cheaper regions, or postpone purchases, making demand more elastic. PED also depends on the availability of second-hand homes as substitutes — if existing properties are cheaper, demand for new-builds could be highly elastic. The proportion of income spent on housing (very high in the UK) also tends to make demand more elastic. Overall, demand for new-builds is likely to be moderately inelastic in the short run but more elastic in the long run.

Q.1 (c) Using Table 1, explain how the government's £5bn housing investment programme can lead to the benefits of the multiplier effect. [6]

Band	AO1 (2 marks) Is the multiplier effect understood?	AO2 (2 marks) Is the answer in context?	AO3 (2 marks) Is how the benefits are gained explained?
2	2 marks — Good Understanding Of the multiplier effect in terms of bigger final increase in GDP than the initial injection.	2 marks — Good application Case and data are used effectively to support argument. Clear reference to the data and case.	2 marks — Good analysis Developed lines of analysis explaining how the benefits are gained.
1	1 mark — Limited Understanding Partial understanding of the multiplier effect.	1 mark — Limited application Learner makes limited reference to the data or case. Data is used but its use is underdeveloped.	1 mark — Limited analysis Limited development. There is a chain of reasoning, but its use of economic theory is underdeveloped; explanations are superficial.
0	0 marks No valid understanding.	0 marks No valid application.	0 marks No valid analysis.

Indicative content:

AO1: The multiplier effect occurs when an initial injection into the economy causes a bigger final increase in national income/real GDP.

AO2: £5bn initial government investment. £18bn estimated net economic benefit (more than 3x the initial injection). 85,000 direct construction jobs plus 120,000 indirect jobs. 92% of contracts awarded to UK businesses (so leakages to imports are minimised). 70% of suppliers are SMEs.

AO3: The £5bn injection increases output and employment in the construction sector. The 85,000 direct construction workers receive wages, which they spend on goods and services in the wider economy (consumption). This extra consumption raises demand and revenue for other businesses (such as retailers, restaurants and service providers), who in turn employ more workers and pay higher salaries — generating the 120,000 indirect jobs. As 92% of contracts go to UK firms, leakages from imports are limited, keeping more of the spending within the UK economy. With 70% of suppliers being SMEs (which often have a higher MPC for spending in their local communities), the multiplier is amplified. The combined effect is the £18bn net economic benefit — significantly greater than the initial £5bn injection.

Q.1 (d) Evaluate whether building more homes is better than introducing rent controls to reduce market failure in the UK housing market. [10]

Band	AO1 (3 marks) Understanding of policies and market failure	AO3 (3 marks) Analysis of how they reduce market failure	AO4 (4 marks) Is the answer debated and judged?
3	3 marks — Excellent Of building homes AND rent controls AND market failure.	3 marks — Excellent analysis Well-developed lines of analysis on both building homes AND rent controls.	4 marks — Excellent Evaluation Reasoned judgement on which is better at reducing market failure. Counter arguments developed.
2	2 marks — Good Of building homes OR rent controls.	2 marks — Good analysis Developed lines of analysis explaining either or both.	2-3 marks — Good evaluation Counter arguments present and developed.
1	1 mark — Limited Of building homes OR rent controls OR market failure.	1 mark — Limited analysis Chain of reasoning but underdeveloped, or arguments not focused on market failure.	1 mark — Limited evaluation Counterarguments present but none well developed, or evaluation not focused on market failure.
0	0 marks	0 marks	0 marks

Indicative content:

AO1: Building more homes is a supply-side government intervention to increase the quantity of housing available. Rent controls are a price ceiling — a maximum legal price for rented accommodation. Market failure is the inefficient allocation of resources in a free market, causing welfare loss. The UK housing market suffers from shortages, affordability issues, and inequities.

AO3: Building more homes shifts the supply curve right, lowering equilibrium prices and quantities increase. This addresses the under-provision of housing and reduces negative externalities such as overcrowding and homelessness. Rent controls cap rents below the market equilibrium, making housing affordable for low-income tenants who are otherwise priced out — addressing equity concerns.

AO4: Building more homes: takes a long time (5–10 years from planning to completion) so does not solve current crisis quickly. Depends on land availability and planning approvals. May worsen environmental externalities through green belt loss. Effectiveness depends on what type of housing is built — luxury homes don't help affordability.

Rent controls: reduce supply over time as landlords leave the rental market or convert to short-term lets (Airbnb), potentially worsening shortages. May reduce maintenance investment, leading to substandard housing. Can create black markets and key money. International evidence (e.g. Berlin, Sweden) suggests rent controls can worsen long-run availability.

Judgement: Building homes is more effective at addressing the underlying market failure (under-supply) in the long run, but rent controls may help in the short run. Both have drawbacks — a combination, with rent controls used temporarily while supply expands, may be most effective.

Q.1 (e)(i) Define the term 'merit good' and explain why housing could be considered a merit good. [4]

Band	AO1 (2 marks) Is merit good understood?	AO3 (2 marks) Is the explanation clear?
2	2 marks — Good understanding Accurate understanding of merit good as a good that is under-consumed due to information failure and generates positive externalities.	2 marks — Good analysis Developed analysis of why housing could be a merit good in terms of under-consumption and positive externalities (e.g. social, health, education benefits).
1	1 mark — Limited understanding Weaker understanding of merit good.	1 mark — Limited analysis Limited development. Underdeveloped use of economic theory; explanations are superficial.
0	0 marks	0 marks

Indicative content:

AO1: A merit good is a good or service whose consumption generates positive externalities and which is under-consumed in a free market due to information failure (consumers undervaluing the long-term private and social benefits).

AO3: Housing can be considered a merit good because adequate housing generates positive externalities — children in stable housing perform better at school, which improves the long-term productivity of the economy. Good quality housing reduces health problems (such as respiratory conditions from damp), reducing the burden on the NHS. Stable housing also reduces antisocial behaviour and crime, benefiting wider society. Without intervention, individuals may under-consume housing quality due to short-termism, or may not realise the long-term benefits of homeownership (information failure).

Q.1 (e)(ii) Using the data, assess the extent to which increased government investment in housing would be positive for the short run and long run macroeconomic performance of the UK. [10]

Band	AO2 (3 marks) Is the answer in context?	AO3 (3 marks) Are the consequences explained?	AO4 (4 marks) Is the answer debated and judged?
3	3 marks — Excellent application Data used very effectively to support arguments on both short and long run impact. Answer is thoroughly embedded in context.	3 marks — Excellent analysis Detailed analysis of short and long run macro impacts. Focus on long run/supply-side as well as demand side.	4 marks — Excellent evaluation Reasoned judgement on extent to which it would be positive in short and long run. Counter arguments developed.
2	2 marks — Good application Data used effectively to support arguments on short and/or long run impacts.	2 marks — Good analysis Developed analysis of short and/or long run impacts.	2-3 marks — Good evaluation Counter arguments present and developed for short and long run.
1	1 mark — Limited application Short run (AD) only. Data underdeveloped.	1 mark — Limited analysis Short run (AD) only. Underdeveloped explanations.	1 mark — Limited evaluation Short run only. Counterpoints superficial.
0	0 marks	0 marks	0 marks

Indicative content (answer is reversible):

AO2: £5bn injection; £18bn estimated net benefit; 85,000 direct + 120,000 indirect jobs; 92% UK contracts; 1.5 million homes target; £285,000 average house price vs £36,000 average earnings (ratio 8.6); affordable homes: 180,000.

AO3 — Real GDP: Short run: increase in AD via increased government spending (G) and the multiplier (£5bn → £18bn). Long run: increase in LRAS through higher quality and quantity of resources — improved housing reduces geographic immobility of labour, improving productivity.

Unemployment: 85,000 + 120,000 jobs supported. Reduces structural and geographical unemployment. Long run: improved labour mobility as workers can afford to move for work.

Inflation: Short run demand-pull inflation possible from increased AD, but the long-run increase in LRAS should reduce this. Lower house prices/rents reduce CPIH directly.

Balance of Payments: 92% UK contracts limit import leakages. Construction materials may still need to be imported, worsening current account in short run.

AO4: Depends on funding — if financed by borrowing, may worsen government debt (crowding out). Skill shortages in construction may limit effectiveness — UK currently has a shortage of bricklayers and skilled tradespeople. The 1.5 million target may be unrealistic given planning delays. Affordability problems may persist if the new homes are unaffordable for low-income buyers. The long-run productivity gains depend on the location of new homes — homes near jobs help more than those built in remote areas. Overall, positive net impact likely but with significant risks and constraints.

Q.2 (a)(i) Using a PPF diagram, illustrate the impact of an economic recovery on an economy that produces consumer goods and capital goods. [2]

Mark	AO1
2 marks	For an accurate drawing with both the original curved PPF boundary and a movement of output from inside the PPF (point B) outward toward the PPF boundary (point A), identified clearly with an arrow or labels.
1 mark	For a drawing of a PPF with no movement shown.
0 marks	For drawing just axes or no valid PPF.

Indicative content: A correctly drawn concave PPF showing consumer goods on one axis and capital goods on the other, with a movement from a point inside the PPF (recession point) outward toward the PPF (recovery point), indicating fuller use of resources.

Q.2 (a)(ii) Using an AD/AS diagram, explain how contractionary monetary policy can be used to reduce inflation. [6]

Band	AO1 (2 marks) Is diagram correct?	AO1 (2 marks) Is understanding of monetary policy clear?	AO3 (2 marks) Is how it reduces inflation explained?
2	2 marks — Good Accurate integrated AD/AS diagram showing decrease in AD leading to lower price level. No meaningful errors.	2 marks — Good Full understanding of link between contractionary monetary policy and reduced inflation. At least two mechanism pathways understood.	2 marks — Good analysis Developed analysis explaining how monetary policy reduces inflation.
1	1 mark — Limited Diagram limited or contains labelling errors, or correct but not integrated.	1 mark — Limited Partial understanding, most likely only cost of borrowing.	1 mark — Limited Chain of reasoning, but underdeveloped; superficial explanations.
0	0 marks	0 marks	0 marks

Indicative content:

AO1: Diagram should show AD curve shifting left ($AD_1 \rightarrow AD_2$) with price level falling from P_1 to P_2 and real GDP from Y_1 to Y_2 .

AO3 — Transmission mechanisms:

Consumption: Higher Bank Rate increases the cost of borrowing on credit cards and loans, reducing borrowing-financed consumption. Increases reward of saving, encouraging more saving and less consumption. Households on variable mortgages face higher repayments, reducing discretionary income.

Investment: Higher cost of business loans reduces investment as fewer projects meet the higher cost of capital threshold.

Asset prices: Higher interest rates reduce demand for houses and shares, reducing the wealth effect on consumption.

Exchange rate: Higher rates attract hot money inflows, appreciating the pound. This makes imports cheaper (reducing cost-push inflation) and exports more expensive (reducing demand-pull pressure).

Combined effect: AD shifts left, demand-pull inflation falls.

Q.2 (b)(i) Using the data, describe how the proposed heat pump grants and home insulation subsidies could decrease negative externalities. [4]

Band	AO1 (2 marks) Is decrease in negative externalities understood?	AO2 (2 marks) Is the data used?
2	2 marks — Good understanding Understanding of negative externality and how it is decreased.	2 marks — Good application Use of BOTH heat pump grants AND insulation subsidies to support the decrease.
1	1 mark — Limited understanding Understanding of a negative externality.	1 mark — Limited application Use of ONE measure to support the decrease.
0	0 marks	0 marks

Indicative content:

AO1: A negative externality occurs when the consumption or production of a good causes a harmful spillover effect to a third party. Reducing carbon emissions reduces the negative externalities of climate change (flooding, extreme weather).

AO2: Heat pump grants of £7,500 per household subsidise the switch from gas boilers to electric heat pumps, reducing the carbon emissions from home heating which currently accounts for 17% of UK emissions. Home insulation subsidies reduce the energy required to heat homes, lowering household energy consumption (whether gas or electric) and therefore reducing the negative externalities of greenhouse gas emissions on third parties. Combined, these reduce CO₂ emissions and the wider climate harm to UK households and globally.

Q.2 (b)(ii) Using the data, describe how the proposed heat pump grants and home insulation subsidies could increase positive externalities. [4]

Band	AO1 (2 marks) Are positive externalities understood?	AO2 (2 marks) Is the data used?
2	2 marks — Good understanding Understanding of positive externality and how it is increased.	2 marks — Good application Use of BOTH heat pump grants AND insulation subsidies to support the increase.
1	1 mark — Limited understanding Understanding of a positive externality.	1 mark — Limited application Use of ONE measure to support the increase.
0	0 marks	0 marks

Indicative content:

AO1: A positive externality occurs when production or consumption of a good causes a benefit to a third party. Social benefit exceeds private benefit.

AO2: Heat pump grants encourage adoption of cleaner technology — creating positive externalities for third parties through improved air quality (less air pollution from gas combustion) leading to better public health. Adoption builds market demand, allowing economies of scale and lower future prices — benefiting future households. Insulation subsidies reduce energy demand, improving energy security (benefits the wider community), lowering health costs from cold homes (NHS benefit), and supporting growth of the green construction sector (employment positive externality).

Q.2 (c) Using a demand and supply diagram, consider who benefits the most from a decrease in fuel duty, the consumer or the firms? [7]

Band	AO1 (3 marks) Is diagram correct?	AO3 (2 marks) Is impact on both explained?	AO4 (2 marks) Is the answer debated and judged?
3	3 marks — Excellent Demand and supply diagram with pivot shift downward in supply. Shows incidence on consumers and producers OR consumer and producer surplus.		
2	2 marks — Good D&S; diagram showing incidence but supply shift is not a pivot, OR pivot shift with only one incidence identified.	2 marks — Good analysis Developed analysis of impact on both consumer and producer.	2 marks — Good evaluation Reasoned judgement on situations where one party benefits most. Counter arguments developed.
1	1 mark — Limited D&S; diagram with parallel shift in supply only (BOD).	1 mark — Limited analysis Limited development. One side only or underdeveloped.	1 mark — Limited evaluation Counterargument present but lacks overall judgement.
0	0 marks	0 marks	0 marks

Indicative content:

AO1: Diagram should show downward pivot shift in supply ($S_1 \rightarrow S_2$) reflecting lower per-unit ad valorem tax. Price falls from P_1 to P_2 , quantity rises from Q_1 to Q_2 . The vertical distance between original and new supply represents the tax cut. The fall in price (P_1 to P_2) is the consumer incidence/benefit; the difference between the fall in price and the full tax cut is the firm's benefit.

AO3: Consumer incidence is greatest when PED is inelastic, as firms have to pass more of the tax cut on to consumers to gain higher demand. When PED is elastic, firms keep more of the tax saving as profit because demand is responsive to small price changes. Fuel demand tends to be price inelastic in the short run (few substitutes, essential for travel and deliveries), suggesting consumers may gain a significant portion of the benefit.

AO4: Depends on PED of fuel (inelastic in short run, more elastic in long run as people switch to EVs). Depends on whether firms (petrol stations, suppliers) actually pass on the cut — evidence from the 2022 fuel duty cut suggested only around 60% of the cut reached consumers. Depends on competition in the market — competitive markets force pass-through, while concentrated markets may allow firms to capture more. Depends on PES — if supply is elastic, more of the benefit accrues to consumers. Overall, in the UK fuel market, both parties benefit but the relative shares depend on elasticities and competition.

Q.2 (d) Using the data from Table 1, discuss whether the proposed government support measures are a good way to protect UK households from the cost of living crisis. [9]

Band	AO2 (3 marks) Is the answer in context?	AO3 (2 marks) Is the way it protects households explained?	AO4 (4 marks) Is the answer debated and judged?
3	3 marks — Excellent application Table 1 used fully. Answer thoroughly embedded in context.		4 marks — Excellent Evaluation Reasoned judgement clearly set in context.
2	2 marks — Good application Table 1 used effectively.	2 marks — Good analysis Developed analysis of how measures protect households.	2-3 marks — Good evaluation Counter arguments present and well developed.
1	1 mark — Limited application Table 1 used but underdeveloped.	1 mark — Limited analysis Chain of reasoning but underdeveloped.	1 mark — Limited evaluation Counterpoints present but none well developed.
0	0 marks	0 marks	0 marks

Indicative content:

AO2: Fuel duty cut 5p per litre, EPG £2,500 cap, Cost of Living Payments £900, Heat pump grants £7,500, Universal Credit uprated 10.1%. Total package £37bn (2022–24).

AO3: Fuel duty cut reduces transport costs — most beneficial to commuters and rural households. EPG protects all households from soaring energy bills regardless of income. Cost of Living Payments directly target low-income households (means-tested) — progressive support. Heat pump grants address the structural cause of high bills by reducing energy use. Universal Credit uprating ensures benefits keep pace with inflation, protecting the lowest earners.

AO4: EPG is regressive — benefits wealthier households more in absolute terms (they use more energy), poorly targeted. Fuel duty cut benefits car owners disproportionately, regressive. Cost of Living Payments well-targeted but one-off — temporary fix. The £37bn cost adds to government debt, may worsen long-run fiscal sustainability, leading to higher future taxes. Universal Credit uprating may not be enough given 11.1% inflation. Heat pump grants have long lead times — don't help with immediate crisis. Overall, the targeted measures (Cost of Living Payments, UC uprating) are most effective at protecting the most vulnerable, while broad subsidies (EPG, fuel duty) are less efficient. A mixed package was probably necessary given the scale of the crisis, but a more targeted approach would have been cheaper and more progressive.

Q.2 (e) Using the data, discuss whether direct income support or universal subsidies is the best way to reduce poverty in the UK. [8]

Band	AO2 (2 marks) Is the answer in context?	AO3 (3 marks) Are benefits fully explained?	AO4 (3 marks) Is the answer debated and judged?
3		3 marks — Excellent analysis Detailed analysis of both approaches.	3 marks — Excellent Evaluation Reasoned judgement set in context. Counter arguments developed.
2	2 marks — Good application Case used effectively.	2 marks — Good Analysis Developed analysis of one OR both with one fully developed, other limited.	2 marks — Good evaluation Counter arguments present and developed.
1	1 mark — Limited application Case underdeveloped.	1 mark — Limited Analysis Chain of reasoning but underdeveloped.	1 mark — Limited evaluation Counterpoints present but none well developed.
0	0 marks	0 marks	0 marks

Indicative content:

AO2: Direct income support — Cost of Living Payments (£900), Universal Credit uprating (10.1%). Universal subsidies — Energy Price Guarantee (£2,500 cap), fuel duty cut.

AO3 — Direct income support: means-tested, so reaches those in greatest need. Provides cash that low-income households can spend on their highest priority needs (food, rent, energy). Recipient choice is preserved. UC uprating maintains real value over time.

Universal subsidies: reach all households quickly, no administration costs of means-testing, no stigma attached. Cap on energy bills protects against the specific shock causing the crisis.

AO4 — Direct income support: may have take-up gaps as some eligible households don't claim. £900 one-off is small relative to need. May create dependency or work disincentives. Doesn't address structural causes of poverty.

Universal subsidies: very expensive (£37bn total), benefit higher earners disproportionately in absolute terms — regressive. EPG keeps prices artificially low, reducing incentive to save energy and exacerbating climate problems. Fuel duty cut benefits car owners (often wealthier) more than non-car-owning poor households.

Judgement: Direct income support is more effective at reducing poverty as it is targeted at the poorest — universal subsidies waste resources on those who don't need help. However, universal measures are easier to administer in a crisis. For long-term poverty reduction, structural reforms (housing, wages, education) matter more than either measure.